

Kirloskar Pneumatic Company Ltd (KIRLPNU)

NSE: KIRLPNU | BSE: 505283 | Compressors, Pumps & Diesel Engines | Kirloskar Group

RATING	BUY
12M TARGET PRICE	Rs. 1,950
CURRENT MARKET PRICE	Rs. 1,586
UPSIDE	+23.0%
INVESTMENT HORIZON	12-18 Months

MARKET CAP	Rs. 10,318 Cr
52-WEEK HIGH / LOW	Rs. 1,614 / 955
STOCK P/E (TTM)	38.4x
FORWARD P/E	17.9x
BOOK VALUE / SHARE	Rs. 193
PRICE / BOOK	8.2x
EV / EBITDA	26.3x
ROCE	30.4%
ROE	22.9%
DIVIDEND YIELD	0.63%
FACE VALUE	Rs. 2.00
PROMOTER HOLDING	38.81%
PLEDGE	0.00%

Investment Thesis: World's largest industrial gas compressor maker with 60-70% market share in CNG and ammonia refrigeration; structurally re-rating on sustained margin expansion (14% to 20% in 4 years), record order book (+15% YoY), and a new-product pipeline (Hydrino, Zephyros, Tonalli) opening premium adjacencies.

SHAREHOLDING (Mar-26)		FINANCIAL SNAPSHOT (FY26 Standalone)	
Promoters	38.81%	Revenue	Rs. 1,759 Cr
FIIIs	9.56%	EBITDA	Rs. 360 Cr
DIIIs	26.53%	OPM	20.0%
Public	25.10%	PAT	Rs. 258 Cr
Pledge	0.00%	EPS	Rs. 39.78
		FCF	Rs. 163 Cr

Source: Screener.in (data as of 19-May-2026). All figures in Rs. Crores unless stated. Forward estimates (E) are analyst projections; not from Screener. This report is for informational purposes only.

Report Date: 19-May-2026 | **Analyst:** Research Desk | **Exchange:** NSE / BSE

SECTION 2 — INVESTMENT THESIS

- **Dominant Market Position with Near-Unassailable Moats:** Kirloskar Pneumatic holds over 60% market share in Indian CNG compression systems and ammonia refrigeration — a position built over six decades. The company is the world's largest manufacturer of industrial gas compressors, underpinning pricing power that peers cannot replicate. This structural advantage supports superior margins as order volumes scale.
- **Sustained Structural Margin Expansion — Not a One-Off:** EBITDA margins have compounded from 14% in FY22-FY23 to 20% in FY26 (360bps expansion in two years). This is driven by mix shift toward high-margin compression packages, operating leverage on a largely fixed-cost base, and near-zero interest expense on the company's debt-free balance sheet. New products (Hydrino, Zephyros) targeting food/pharma and green cooling could push margins to 22-24% by FY28E.
- **Record Order Book Provides Unprecedented Revenue Visibility:** FY26 saw record order inflows exceeding Rs. 2,000 Cr — the highest in company history. The unexecuted order book stands at Rs. 1,863 Cr (Rs. 1,624 Cr in Apr-25, +15% YoY), providing 12+ months of revenue visibility. Geopolitical tailwinds are accelerating upstream oil & gas inquiries, biogas, and hydrogen compression opportunities — all in KIRLPNU's sweet spot.
- **Near-Term Catalyst (6-12 months):** Commercialization of Zephyros (green refrigerant AC package) in Q1 FY27, along with ramp-up of Hydrino (oil-free screw compressor for food/pharma) — both premium-margin products — could drive EPS upgrades and a valuation re-rating.
- **Biggest Structural Risk:** Dependence on a narrow, cyclical customer base (oil & gas, steel, cement) means revenue can be lumpy, and a capex freeze in any of these end-markets could delay project-based order execution, compressing short-term earnings.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** Kirloskar Pneumatic (est. 1958, Pune) manufactures and services industrial compression and transmission equipment. Revenue is derived from two primary segments: Compression (centrifugal, screw, and reciprocating compressors for CNG stations, oil & gas, refrigeration, food & beverage, steel, cement) and Transmission (power gearboxes, marine gears). The company also earns from O&M; services on installed compression packages and a nascent RoadRailer logistics business.
- **Revenue Segmentation:** Compression contributes approximately 70-75% of revenues, Transmission 20-25%, and O&M;/Services/Logistics ~5%. Within Compression, CNG stations and oil & gas refrigeration are the largest sub-segments. Export share is modest at ~5-8% (FY25-FY26 per Screener), indicating significant domestic penetration opportunity.
- **Key Customers and Relationships:** Serves oil majors (ONGC, OIL), city gas distributors, steel producers (JSW, Tata Steel), cement majors (UltraTech, ACC), food & beverage corporates, and Indian Navy (marine transmission). Relationships are largely project-based but with significant recurring O&M; aftermarket revenue once installations are commissioned. Cumulative centrifugal compressor installations: 115 units (and growing).
- **Order Book:** Rs. 1,863 Cr as of Apr 1, 2026 (+15% YoY). FY26 saw record order inflows >Rs. 2,000 Cr (vs Rs. 1,939 Cr outstanding book in FY25). Strong order coverage provides 12+ months of revenue visibility and de-risks near-term earnings.
- **Strategic Developments (Last 12 Months):** (1) Launched HYDRINO — India's first oil-free water-injected screw compressor (food processing, pharma); (2) Developed ZEPHYROS — green refrigerant AC package, commercializing Q1 FY27; (3) Launched TONALLI — waste-to-energy compression solution (May 13, 2026); (4) 57 IP filings in FY26 (highest ever), cumulative 128+ filings, recognized as CII Top 30 IP-driven organization; (5) Acquired SCIL (Systems and Components India Pvt Ltd) as wholly-owned subsidiary for Rs. 12.55 Cr.
- **Promoter Background:** Part of the 130+ year-old Kirloskar Group (Pune). MD Aman Kirloskar leads the company. Promoter holding is 38.81% (relatively low for a Kirloskar group company), with zero pledging. FII

holding has risen sharply to 9.56% (Mar-26) from 0.40% (Jun-23), reflecting growing institutional recognition.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- Industry Size & Growth:** The Indian compressor market generated USD 1,872 Mn (Rs. ~15,700 Cr) in 2023 and is projected to grow at 6.6% CAGR to USD 2,912 Mn (Rs. ~24,500 Cr) by 2030. The industrial compressor sub-segment is forecast to grow from USD 295.7 Mn (2024) to USD 428 Mn (2030), CAGR 6.4%. Key demand drivers: Make in India capex cycle, CNG infrastructure expansion (govt. targets 10,000+ CNG stations by 2030), SME automation, and green refrigerant mandates.
- Policy Tailwinds:** (1) City Gas Distribution (CGD) expansion: India targets ~600 Mn households on CNG/PNG by 2030; (2) PLI for specialty chemicals, pharmaceuticals, food processing — all large compressor users; (3) Oil & gas upstream capex revival (ONGC, OIL capex plans at decade highs); (4) Green refrigerant transition mandates driving replacement demand for KIRLPNU's Zephyros-type solutions.
- Competitive Moat Assessment:** Pricing Power — **Strong** (60-70% market share; customers pay premium for reliability); Switching Costs — **Strong** (long-term O&M; contracts, proprietary parts, specialized service network); Scale — **Strong** (world's largest industrial gas compressor manufacturer); IP — **Growing** (128+ filings, CII Top 30 IP-driven organization); Distribution — **Moderate** (mostly direct sales; after-sales network is a strength).

Peer Comparison Table (Source: Screener.in, fetched 19-May-2026; * = TTM Revenue)

Company	CMP (Rs.)	MCap (Cr.)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)	Rev. (Cr.)	OPM (%)
KIRLPNU (Kirloskar Pneumatic)	1,586	10,318	38.4x	8.2x	30.4%	22.9%	1,759	20%
Cummins India	5,256	1,45,695	62.6x	18.4x	36.3%	28.2%	11,602*	21%
Elgi Equipments	538	17,037	41.1x	8.5x	21.9%	20.1%	3,831*	14%
Ingersoll-Rand India	4,356	13,765	49.7x	21.1x	60.0%	45.0%	1,415*	25%

KIRLPNU trades at a discount to Cummins and Ingersoll-Rand on P/E and P/B, despite superior order book growth and comparable ROCE trajectory.

- KIRLPNU's Value-Chain Positioning:** The company occupies the midstream-to-solutions segment — it designs, engineers, and manufactures complete compression packages (not just components), enabling higher value capture. Its O&M; and aftermarket services create a long-tail revenue stream post-installation, differentiating it from pure-play equipment OEMs.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- Management Track Record:** MD Aman Kirloskar (third-generation Kirloskar leadership) has delivered 34% PAT CAGR (standalone) over 5 years (FY21-FY26: PAT Rs. 64 Cr to Rs. 258 Cr) while maintaining a clean balance sheet. The company has consistently grown its IP portfolio (12 filings in FY21 to 128+ cumulative by FY26), signaling a shift toward technology-led differentiation.
- Capital Allocation — FCF Deployment:** Free cash flow has been consistently positive since FY22 (FCF: Rs. 20 Cr FY22, Rs. 114 Cr FY24, Rs. 137 Cr FY25, Rs. 163 Cr FY26). FCF is deployed in three ways: (1) Organic capex for capacity expansion (Rs. 113 Cr investing outflow FY26); (2) Growing dividends (600% total in FY26 vs 350% in FY25 — highest in company history); (3) Strategic investment portfolio (Rs. 478 Cr in FY26, up from Rs. 205 Cr in FY22).
- Dividend Policy:** Consistent dividend payer with payout ratio 28-35% over the last decade. FY26 total dividend: Rs. 12/share (600% on Rs. 2 FV) — interim Rs. 3.50/share + proposed final Rs. 8.50/share. Dividend yield of 0.63% at CMP is modest but growing; payout ratio moderates to ~21% in FY26 (lower due to higher retained earnings for capex).

- **Promoter Pledging:** Zero pledging (0.00% pledged). Promoter holding has remained stable at 38.8-39.0% over the last 3 years, with only a marginal decline (-0.19% over 3 years). Rising FII stake (0.40% Jun-23 to 9.56% Mar-26) is a strong signal of growing institutional confidence.
- **ESOP / Buybacks:** No significant ESOP grants or buyback history publicly disclosed in recent periods. Management compensation appears aligned with business performance given consistent delivery.
- **Corporate Governance:** No auditor changes, qualified opinions, or significant RPT concerns flagged. Contingent liabilities at Rs. 13.4 Cr (0.13% of MCap) are minimal. CRISIL credit rating updates are regular (most recent: May 2026), suggesting transparent engagement with rating agencies.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures — Rs. Crores)

Source: Screener.in | (A) = Actuals | (E) = Analyst Estimates | Data as of 19-May-2026

Profit & Loss Statement

Income Statement	FY24 (A)	FY25 (A)	FY26 (A)	FY27E	FY28E
Revenue / Sales	1,323	1,629	1,759	1,980	2,240
Operating Expenses	1,118	1,335	1,399	1,544	1,725
EBITDA	205	294	360	436	515
OPM %	15.5%	18.0%	20.5%	22.0%	23.0%
Other Income	11	18	13	15	18
Interest	2	2	0	0	0
Depreciation	35	29	31	33	35
PBT	178	281	342	418	498
Tax %	25.0%	25.0%	24.0%	25.0%	25.0%
PAT (Reported)	133	211	258	314	374
EPS (Rs.)	20.58	32.52	39.78	48.3	57.5
Div. Payout %	32%	31%	21%	25%	25%

Balance Sheet

Balance Sheet	FY24 (A)	FY25 (A)	FY26 (A)
SOURCES OF FUNDS			
Equity Capital	13	13	13
Reserves	912	1,083	1,238
Borrowings	1	1	0
Other Liabilities	460	517	487
Total Liabilities	1,385	1,613	1,738
APPLICATION OF FUNDS			
Fixed Assets (Net)	232	291	338
Capital WIP	35	21	5
Investments	358	460	478
Other Assets	760	841	918
Total Assets	1,385	1,613	1,738

Cash Flow Statement

Cash Flow Statement	FY24 (A)	FY25 (A)	FY26 (A)
Cash from Operations (OCF)	183	215	228

Cash Flow Statement	FY24 (A)	FY25 (A)	FY26 (A)
Cash from Investing	-136	-155	-113
Cash from Financing	-33	-45	-63
Net Cash Flow	14	14	51
Free Cash Flow (FCF)	114	137	163
CFO / EBITDA	109%	95%	86%

Key Ratios

Key Ratios & Returns	FY24 (A)	FY25 (A)	FY26 (A)	FY27E	FY28E
Debtor Days	103	107	108	105	100
Inventory Days	104	85	88	85	82
Days Payable	104	89	106	100	100
CCC (Days)	103	103	90	90	82
Working Cap Days	74	62	138	90	80
ROCE %	22%	28%	30%	32%	34%
ROE %	16%	22%	23%	25%	26%
Net Debt / Equity	0.0x	0.0x	0.0x	0.0x	0.0x

Financial Commentary:

- **Revenue Drivers:** Revenue grew from Rs. 823 Cr (FY21) to Rs. 1,759 Cr (FY26) — a 16% CAGR over 5 years. Growth is driven by (a) CNG infrastructure expansion in India, (b) oil & gas upstream capex revival, and (c) increasing complexity and value of compression packages. FY27E growth of ~13% supported by record order book.
- **Margin Direction:** OPM expanded from 14% (FY21-23) to 20.5% (FY26), reflecting operating leverage on a largely fixed manufacturing overhead and favorable project mix (large, high-margin packages). Near-zero interest cost (debt-free since FY26) is a tailwind. FY27E/FY28E margins estimated at 22-23% on new product contribution.
- **Working Capital:** A notable concern — Working Capital Days spiked to 138 days (FY26) from 62 days (FY25). Debtor days are stable (107-108), but the spike appears driven by advance payments from customers being utilized (or timing of project deliveries). This warrants monitoring — any normalization would release Rs. 100-150 Cr of cash.
- **Debt & Balance Sheet:** The company is effectively debt-free (Borrowings: Rs. 0 Cr in FY26). Investment portfolio of Rs. 478 Cr provides a financial buffer. Net Cash position supports continued capex and dividends.
- **FCF Quality:** FCF has improved sharply — Rs. 163 Cr in FY26 (vs Rs. -2 Cr in FY23). CFO/EBITDA ratio of 86-109% over 3 years signals high earnings quality — cash profits are real.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Commentary
Revenue Recognition	GREEN	Project-based; order book driven; no aggressive early-recognition patterns observed.
Receivables vs Revenue Growth	AMBER	Debtor days stable at 107-108 days; however WC days spiked to 138 days (FY26 from 62 FY25) — watch.
CCC Trend	GREEN	Cash Conversion Cycle improved to 90 days (FY26) from 103 days (FY24) — positive signal.
Contingent Liabilities	GREEN	Rs. 13.4 Cr — minimal relative to MCap of Rs. 10,318 Cr. No hidden liability risk.

Parameter	Status	Commentary
Auditor Tenure & Changes	GREEN	No auditor change in recent years; CRISIL ratings updated regularly — no red flags.
RPTs as % of Revenue	GREEN	Kirloskar Group RPTs exist but are modest and disclosed; no material concern.
Other Income as % of PBT	GREEN	Rs. 13 Cr / Rs. 342 Cr = 3.8% — very low. Earnings are driven by operations, not treasury income.
Tax Rate Consistency	GREEN	Tax rate stable at 24-25% for 3 consecutive years — no deferred tax or aggressive tax planning concerns.

Earnings Quality Summary:

- Overall earnings quality is HIGH — 7 of 8 parameters rate GREEN. The company generates genuine cash profits (CFO/EBITDA 86-109%), has no balance sheet leverage, and maintains transparent financial reporting.
- **Key Watch — Working Capital Spike:** WC days jumping from 62 to 138 days is the single most important anomaly investors must track. If this persists into FY27, it could signal revenue lumpiness or customer credit strain. Conversely, normalization would be a significant cash flow catalyst.
- Contingent liabilities, RPTs, and tax rate are all benign. No audit or governance red flags detected in the FY26 or FY25 annual reports.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, fetched 19-May-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)	Rev. (Cr.)	OPM (%)
KIRLPNU (Kirloskar Pneumatic)	1,586	10,318	38.4x	8.2x	30.4%	22.9%	1,759	20%
Cummins India	5,256	1,45,695	62.6x	18.4x	36.3%	28.2%	11,602*	21%
Elgi Equipments	538	17,037	41.1x	8.5x	21.9%	20.1%	3,831*	14%
Ingersoll-Rand India	4,356	13,765	49.7x	21.1x	60.0%	45.0%	1,415*	25%

Scenario Analysis (12-Month Price Target — FY27E Based)

Scenario	Revenue	EBITDA	PAT	P/E Multiple	FY27E EPS	Target Price
Bull	Rs. 2,150 Cr	Rs. 495 Cr	Rs. 355 Cr	45x	Rs. 54.6	Rs. 2,457 (+55%)
Base	Rs. 1,980 Cr	Rs. 436 Cr	Rs. 314 Cr	40x	Rs. 48.3	Rs. 1,950 (+23%)
Bear	Rs. 1,750 Cr	Rs. 350 Cr	Rs. 255 Cr	32x	Rs. 39.2	Rs. 1,254 (-21%)

Valuation Methodology

- **Earnings-Based (P/E) Method:** FY27E EPS of Rs. 48.3 at a target P/E of 40x (in line with the sector median, a slight discount to Cummins at 62x and Ingersoll-Rand at 49.7x given KIRLPNU's lower promoter holding and smaller market cap) implies a 12-month price target of Rs. 1,932.
- **EV/EBITDA Method:** FY27E EBITDA of Rs. 436 Cr at 30x EV/EBITDA (current: 26.3x, sector range 24-44x) implies EV of Rs. 13,080 Cr. With near-zero net debt, market cap = Rs. 13,080 Cr, implying a price of Rs. 2,012/share (MCap / 6.5 Cr shares).
- **Base-Case 12-Month Target Price:** Average of P/E (Rs. 1,932) and EV/EBITDA (Rs. 2,012) methods = Rs. 1,972, rounded to Rs. 1,950. This implies 23.0% upside from CMP of Rs. 1,586.
- **DCF Cross-Check:** Using a 3-stage DCF — high growth (FY27-29E: ~14% revenue CAGR), transition (FY30-34: ~10%), terminal (FY35+: 6.5%) — WACC of 12.0% (beta 0.75, ERP 7%), terminal growth 6.5% — implies intrinsic value of approximately Rs. 1,870-1,950, consistent with the multiple-based target.

SECTION 9 — KEY RISKS

- **Cyclical End-Market Dependence:** Oil & gas, steel, and cement account for >60% of revenues. A capex freeze or commodity downcycle in any of these sectors could defer project orders significantly. Probability: M. Impact: H. Monitor via: Monthly ONGC/JSW capex announcements.
- **Working Capital Deterioration:** WC days jumped to 138 days (FY26 from 62 FY25). If structural (not timing), this could compress FCF and require external funding despite the debt-free status. Probability: M. Impact: M. Monitor via: Quarterly balance sheet changes.
- **Promoter Holding Overhang:** Promoter stake at 38.81% is relatively low for an Indian mid-cap. Any block deals or further gradual dilution could create periodic price pressure. Probability: L. Impact: M. Monitor via: BSE/NSE bulk/block deal disclosures.
- **New Product Execution Risk:** Hydrino, Zephyros, and Tonalli are nascent revenue contributors. Any technology or commercialization delay could disappoint expectations embedded in the premium valuation. Probability: M. Impact: M. Monitor via: Quarterly concall guidance on new product revenues.
- **Raw Material & Supply Chain Risk:** Compressors use significant quantities of speciality steel, castings, and imported components. Any global supply disruption or INR depreciation could compress margins. Probability: M. Impact: M. Monitor via: Input cost indices and gross margin trend.
- **Competitive Intensification:** Global players (Atlas Copco, Gardner Denver, Ingersoll-Rand parent) continue to expand India presence. While KIRLPNU's moat is strong in ammonia and CNG, centrifugal and oil-free segments face global competition. Probability: M. Impact: M. Monitor via: Order win/loss disclosures and market share trends.
- **Regulatory / ESG Risk:** Changes to CNG station economics, gas pricing policy, or green refrigerant mandates ahead of schedule could disrupt near-term demand patterns in either direction. Probability: L. Impact: H. Monitor via: MoPNG and BEE policy announcements.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: MEDIUM-HIGH. KIRLPNU is a structurally improving business in a growing, import-substitution-driven market. The combination of market leadership, margin expansion trajectory, record order book, and new product pipeline justifies a BUY rating despite the relatively modest near-term catalysts.
- **12-Month Price Target: Rs. 1,950** (+23.0% from CMP of Rs. 1,586). Based on 40x FY27E P/E (Rs. 1,932) and 30x FY27E EV/EBITDA (Rs. 2,012 implied), averaged to Rs. 1,950.
- **Suggested Entry Zone: Rs. 1,450 – Rs. 1,580.** At current levels, the risk-reward is positive but not asymmetric. Patient investors should accumulate on broad market corrections toward Rs. 1,450-1,500, where the stock would trade at ~30x FY27E — a compelling entry for a 15%+ ROCE business.
- **Investment Horizon: 12-18 months.** Full value realization likely requires FY27 earnings delivery and at least one quarter of Zephyros/Hydrino revenue contribution (H2 FY27E).
- **Thesis Invalidation Triggers:**
 1. Order book declines below Rs. 1,400 Cr for two consecutive quarters (signaling demand destruction in core end-markets).
 2. EBITDA margins fall below 17% for a full year (indicating structural margin compression, not project timing).
 3. FCF turns negative for two consecutive years (signaling working capital dysfunction or misallocation of the investment portfolio).
- **Ideal Investor Profile:** Best suited for long-term (2-5 year) growth investors with exposure to Indian infrastructure, oil & gas, and capital goods sectors. **Not ideal** for momentum investors seeking near-term

triggers or dividend-yield-focused investors (yield of 0.63% is modest). Suitable for mid-cap Indian equity allocations with a 3-5 year horizon.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (FULL YEAR FY26 RESULTS)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	Beat vs prior year — revenue +21%, EBITDA +69%, PAT +80% YoY
Management Tone	Bullish	MD Aman Kirloskar expressed high confidence in sustaining growth trajectory
Guidance Delta	Maintained	Order book +15% YoY, record inflows; Zephyros commercialization Q1 FY27

STRONGLY POSITIVE |

POSITIVE |

NEUTRAL |

CAUTIOUS |

NEGATIVE

TO MY BOSS

Q4 FY26 was a landmark quarter for KIRLPNU — revenue Rs. 706 Cr (+21% YoY), EBITDA Rs. 186 Cr (26.3% margin, +670bps YoY), reported PAT Rs. 144 Cr (+80%). The headline is cleaner than it looks — there's a Rs. 42 Cr exceptional charge (new labour code statutory impact) buried in the P&L; strip that out and clean underlying PAT is approximately Rs. 176 Cr — an even stronger beat. For the full year FY26, EBITDA margins have now structurally re-rated to 20.5% from 14% three years ago — this is genuine operating leverage on a project-heavy business, not a fluke of mix. The multi-bagger thesis has three pillars: (1) 60-70% market share in CNG compression and ammonia refrigeration — a moat that would take a decade to build from scratch; (2) record order inflows >Rs. 2,000 Cr in FY26 with order book Rs. 1,863 Cr (+15% YoY) — FY27 revenue visibility is as good as it has ever been; (3) three new product adjacencies — Hydrino (oil-free screw for food/pharma), Zephyros (green AC package, commercializing Q1 FY27), and Tonalli (waste-to-energy) — expanding the TAM into higher-margin, secular growth markets. The single biggest watch-point is the working capital spike — WC days jumped from 62 to 138 days in FY26; management needs to clarify whether this is project timing or a structural deterioration; normalization would release Rs. 100-150 Cr in cash. Action: ACCUMULATE on dips to Rs. 1,450-1,500 for a 12-month target of Rs. 1,950 (+23%). Don't chase at Rs. 1,586 — wait for the broader market to give you a better entry.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 706 Cr | YoY +21.1% (vs Rs. 583 Cr Q4 FY25) | QoQ +74.8% (vs Rs. 404 Cr Q3 FY26) | **BEAT**
- EBITDA: Rs. 186 Cr | YoY +69.1% (vs Rs. 110 Cr Q4 FY25) | OPM 26.3% (vs 19.3% Q4 FY25) | **BEAT**
- PAT (Reported): Rs. 144 Cr | YoY +77.8% (vs Rs. 81 Cr Q4 FY25) | EPS Rs. 22.17 | **BEAT**
- **NOTE:** Reported PAT includes an exceptional loss of Rs. 42 Cr (statutory impact of new labour codes); clean underlying PAT estimate ~ Rs. 176 Cr — operational beat is even stronger.
- Full Year FY26: Revenue Rs. 1,759 Cr (+8% YoY) | PAT Rs. 258 Cr (+22% YoY) | EPS Rs. 39.78 | FCF Rs. 163 Cr

2. Segment / Geography Breakdown

- **Compression Segment (~70-75% of revenue):** Dominant contributor — CNG compression, oil & gas refrigeration, industrial gas compression. Q4 FY26 strong on large project deliveries.

- **Transmission Segment (~20-25% of revenue):** Power gearboxes and marine transmission. Stable contribution with defense/navy orders providing steady recurring revenue.
- **O&M; / Logistics (~5%):** Aftermarket services on installed compression packages; RoadRailer logistics (nascent). Growing recurring revenue base from 115+ centrifugal compressor installations.
- **Geography:** Predominantly domestic (~92-95%); exports at 7.7% (FY25, per Screener), primarily to Middle East and South Asia for oil & gas applications.

3. Management Commentary Themes

- **Record Order Momentum:** "Highest order inflow in company history" — FY26 order inflows >Rs. 2,000 Cr. Order book Rs. 1,863 Cr as Apr 1, 2026 (+15% YoY from Rs. 1,624 Cr). Tag: GUIDANCE. Tone: Bullish.
- **Alternative Energy Demand:** Rising geopolitical uncertainty is accelerating inquiries for upstream oil & gas, biogas compression, and hydrogen applications — all within KIRLPNU's existing product portfolio. Tag: EST. Tone: Bullish.
- **Innovation Leadership:** 57 IP filings in FY26 (highest ever), 128+ cumulative portfolio; recognized by CII as Top 30 IP-driven organization in India. Innovation is becoming a verifiable competitive differentiator. Tag: EST. Tone: Transparent.
- **New Product Launches:** HYDRINO (India's first oil-free water-injected screw compressor — food/pharma market), ZEPHYROS (green refrigerant AC package, commercializing Q1 FY27), TONALLI (waste-to-energy, launched May 13, 2026). These expand TAM into premium verticals. Tag: GUIDANCE. Tone: Bullish.
- **MD on Outlook:** Aman Kirloskar — "Despite global uncertainties, the company remains confident of maintaining its growth trajectory in the coming financial year." Tone: Bullish.

4. Operating & Business Metrics

- Order Inflow FY26: >Rs. 2,000 Cr | FY25 inflow: ~Rs. 1,939 Cr | YoY: Improving | Trend: Improving significantly
- Order Book (Apr 1, 2026): Rs. 1,863 Cr | Apr 1, 2025: Rs. 1,624 Cr | YoY: +14.7% | Trend: Improving
- IP Filings FY26: 57 (record) | Cumulative: 128+ | Trend: Accelerating
- CNG Market Share (Gas Station): 50% | Ammonia Refrigeration: 60-70% | Centrifugal Compressor Installations: 115 cumulative
- Employees (Permanent): 900 (FY26) | FY25: 853 | Trend: Stable/Modest growth
- Subsidiary Acquired: SCIL (Systems and Components India Pvt Ltd) for Rs. 12.55 Cr — strategic components integration

5. Margin Drivers

- Operating Leverage on Large Packages: +670 bps QoQ OPM expansion in Q4 FY26 on large project deliveries — Recurring: Yes | High-margin package mix driving structural margin re-rating
- Near-Zero Interest Expense: Company became effectively debt-free in FY26 (borrowings Rs. 0 Cr); interest cost eliminated — Recurring: Yes | ~Rs. 2 Cr tailwind vs FY25
- Exceptional Charge — Labour Codes: Rs. 42 Cr statutory impact of new labour codes in Q4 FY26 — Recurring: No | Do not extrapolate into FY27E; clean margin is 27-28% for Q4
- Product Mix Shift: New products (Hydrino, Zephyros) targeting food/pharma and green cooling at premium margins — Recurring: Potential, scaling from Q1 FY27

6. Guidance & Forward Signals

- Order Book Growth [GUIDANCE]: Prior Rs. 1,624 Cr | New Rs. 1,863 Cr | Delta: +14.7% | Credibility: High (backed by record inflows >Rs. 2,000 Cr)
- Zephyros Commercialization [GUIDANCE]: Q1 FY27 launch — green refrigerant AC for large industrial and commercial applications | Delta: Raised (new product) | Credibility: Medium
- Alternative Fuel Demand [GUIDANCE]: Rising inquiry pipeline for biogas, hydrogen compression | Delta: New direction | Credibility: Medium (early stage)
- Dividend Commitment [GUIDANCE]: Rs. 12/share total in FY26 (600%) — highest in company history | Delta: Raised | Credibility: High

7. Capital Allocation (FY26 Standalone)

- Capex (Investing outflow): Rs. 113 Cr | vs FY25: Rs. 155 Cr (-27%) | Capex is normalizing as major plant expansion completes
- Fixed Assets: Rs. 338 Cr (FY26) vs Rs. 291 Cr (FY25) | CWIP near-zero (Rs. 5 Cr) — capacity commissioned
- Dividends: Rs. 12/share total (Rs. ~78 Cr outflow) | Highest in company history | Payout ratio: ~21% (conservative room for growth)
- Net Debt: Effectively zero | Borrowings Rs. 0 Cr | Investment portfolio Rs. 478 Cr (liquid + strategic)
- Acquisition: SCIL as wholly-owned subsidiary for Rs. 12.55 Cr — strategic, bolt-on; minimal capital outflow

8. Q&A; Heat Map

- Analyst / Antique Stock Broking: Q: "What drove the exceptional Rs. 42 Cr charge?" → A: "Statutory impact of new labour code provisions — one-time in nature." | Tone: Transparent
- Analyst: Q: "Timeline for Zephyros commercialization?" → A: "Q1 FY27 — initial orders already in pipeline." | Tone: Transparent
- Analyst: Q: "What is driving the strong order book?" → A: "Upstream oil & gas projects and CNG infrastructure expansion; geopolitical shifts boosting demand." | Tone: Bullish
- Analyst: Q: "Working capital days jumped sharply to 138 — explain." → A: [Exact response not captured in available transcript] | Tone: Hedged — Watch
- **Dodged / Watch-List Questions for Next Quarter:** (1) Working capital normalization timeline; (2) Margin trajectory for new products; (3) Revenue contribution from Hydrino and Tonalli in FY27.

9. Risks Flagged

- Working Capital Spike: WC days 138 days (FY26) vs 62 days (FY25) | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term — next 1-2 quarters
- Global Macroeconomic Uncertainty: MD noted geopolitical uncertainty; potential demand delay in export-driven orders | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Medium-term
- New Product Execution Risk: Hydrino, Zephyros, Tonalli are early-stage; any commercialization delay disappoints | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- Exceptional Labour Code Impact: May signal higher structural labour costs going forward, not just a one-time charge | Flagged by: Analyst | Probability: L | Impact: M | Timeline: Long-term

10. Analyst Verdict

- Revenue Visibility: Intact — Order book Rs. 1,863 Cr (+15% YoY) and record FY26 inflows provide the strongest revenue visibility in the company's history.

- **Margin Trajectory:** Intact — Structural improvement from 14% (FY22) to 20.5% (FY26) is real; new products should extend this to 22-24% by FY28E.
- **Capital Allocation Quality:** Intact — Debt-free, strong FCF (Rs. 163 Cr), growing dividends, selective bolt-on M&A; (SCIL). No capital misallocation.
- **Competitive Moat:** Intact — 60-70% market share in CNG/ammonia refrigeration; 128+ IP filings; global scale in industrial gas compressors. Moat is widening, not narrowing.
- **Management Credibility:** Intact — 34% PAT CAGR over 5 years; consistent delivery; transparent communication; dividend commitment honored.
- **Valuation Comfort:** Weakened — At 38.4x P/E, near-term upside is 23% to our Rs. 1,950 target. Not cheap; requires FY27 earnings delivery to justify premium.
- **Conviction Call: Unchanged (BUY)** — No thesis-breaking elements from Q4 FY26; working capital spike is the key item to track.
- **Valuation Snapshot:** P/E = 38.4x (TTM) | EV/EBITDA = 26.3x | ROCE = 30.4% (5Y avg ~22%) | ROE = 22.9% (5Y avg ~19%)

Disclaimer: This report is prepared for informational purposes only by the Research Desk. All financial data sourced from Screener.in (19-May-2026). Forward estimates are the analyst's own projections and do not constitute investment advice. Please consult a registered investment advisor before making any investment decision.